ZIMBABWE DIAMOND AND
ALLIED MINERALS WORKERS UNION
and
PRECIOUS MWANZA
and
OWEN KAPETA
versus
RIOZIM LIMITED
and
MASTER OF THE HIGH COURT (NO)
and
THE REGISTRAR OF COMPANIES (NO)

HIGH COURT OF ZIMBABWE
MANDAZA J
HARARE; 3 December 2025 and 2 January 2026

Opposed Chamber Application

R Mabwe, for the applicants
E Mubaiwa, for the 1st respondent
No appearance for the 2nd and 3rd respondents

MANDAZA J: This is a court application for the placement of the first respondent under supervision and commencement of corporate rescue proceedings in accordance with Part XXIII of the Insolvency Act [*Chapter 6:07*], 'hereinafter the Act'. The first applicant is a duly registered trade union operating as a *universitas*. The first applicant approached this court as a registered trade union representing the employees of the first respondent under s 121(1) (a)(ii) of the Act. Members of the applicant, who are employees of the first respondent, authorised the institution of these proceedings by a resolution. The second applicant is an employee of the first respondent stationed at Renco Mine in Masvingo. The third applicant is a former employee of the first respondent who was based at Cam and Motor Mine in Kadoma. The second and third respondents are affected persons under section 121 (1) (a) (iii) of the Act as read with s 124 of the same Act.

The first respondent is Rio Zim Limited, a public company incorporated under local legislation. It is also listed on the Zimbabwe Stock Exchange. It holds several mineral assets

across the country. The second and third respondents are listed in their official capacities in terms of s 124(2)(a) and s 124 (2) (b) of the Act respectively.

BACKGROUND

The applicants are seeking an order supervising the first respondent and initiating corporate rescue proceedings in accordance with Part XXIII of the Act. The basis for the application is that the first respondent is in financial distress as outlined in sections 121 (f) and 124 (4) (a) of the Act. Corporate rescue will be beneficial to the first respondent as it will allow for temporary oversight of the company, management of its affairs, and management of its business and property. It will also protect the rights of all affected individuals and preserve shareholder value. The tragic death of the majority shareholder worsened the situation, and there has been insufficient shareholder support and a lack of additional capital injection. The application is opposed.

SUBMISSIONS BY THE APPLICANT

The applicant raised several points in *limine*. The first point is whether the first respondent is appropriately before the court? The board resolution presented to the court does not meet the mandatory requirements of the *Companies and Other Business Entities Act* [*Chapter 24:31*], hereinafter 'the COBE Act'. The resolution violates the peremptory requirements of s 205 (2) of the COBE Act. The invalidation is because it could not be independently verified whether all the directors had signed the minutes before or after the meeting. There is no evidence substantiating that the deponent of the first respondent is authorised. It was submitted that the lack of authority undermines the entire notice of opposition. As such, the opposing papers must be struck off, and the matter should be treated as unopposed. The court was referred to the cases of *Madzivire and Ors* v *Zvarivadza and Others* 2006 (1) ZLR 514 (S).

The second point in *limine* is based on the principle of approbation and reprobation. The principle states that a party cannot simultaneously accept and reject the same legal instrument or judgement. A person cannot take two inconsistent positions to gain an advantage from one while denying the other. In *casu*, the first respondent approved corporate rescue proceedings to defend against asset seizure under s 126 of the Act. It is now opposed to the present application because it does not like the nominated corporate rescue practitioners. The

court was referred to the case of *Mashoko and Ors* v *Mashoko and Ors* SC114/22, where the court held that, "Our law does not allow a party to have his cake and eat it at the same time".

The applicant also submitted that, even if the deponent and the legal practitioner were authorised, such authority would be defective under the Act. That is so because the application for the placement of the first respondent under corporate rescue initiated the commencement of corporate rescue proceedings. The court was referred to the case of *Divaris N.O.* v *Tetrad Investment Bank and Others* HH516/23. The effect of commencing such proceedings is to remove a company's board of directors. The directors could not issue a resolution authorising the deponent to act on their behalf, as such a resolution would be void. The initiation of corporate rescue proceedings divested the directors of that power.

SUBMISSION ON THE MERITS BY THE APPLICANTS

On the merits, the applicants submitted that corporate rescue is founded on a broader sense of social justice. It is different from judicial management, which prioritised private corporate interests. It is aimed at preserving the entire company or corporate entity and jobs. For that proposition, the court was referred to the case of *South African Airways (SOC) Ltd (In Business Rescue) and Ors* v *National Union of Metalworkers of South Africa obo Members and Ors* 2020 ZALAC 34. The first applicant launched this application to safeguard jobs for all employees.

It was submitted that the first respondent is in financial distress as its liabilities exceed its assets. The auditors have also passed adverse opinions on the first respondent. The financial statements for the year ended 31 December 2024 also reflect a declining financial performance. It was emphasised that the first respondent must be placed under corporate rescue, as it is severely financially incapacitated. Therefore, the application must be granted as prayed for.

SUBMISSIONS BY THE FIRST RESPONDENT

The first respondent submitted that the board resolution is valid. Section 205 of the Act concerns the minutes of meetings of the board and its committees. The section has nothing to do with the validity or otherwise of a board resolution. The attached resolution states that "It is a written resolution of the Directors of RioZim Limited passed in terms of Article 112 of the Articles of Association as amended by special resolution dated 28 May 2014". No section 205 minutes have been attached to the application; hence, the point in *limine* is irrelevant to the case before the court. The fact that the Chairman signed the minutes means they were approved

under the law by virtue of the deeming provision. The court was referred to the case of *Pereira v Group Five (Pty) Ltd and Ors* [1996] All SA 686 (SE), where it was held that the word 'deemed' denotes that something is a fact regardless of the objective truth of the matter.

It was also submitted that when the authority to represent a company in legal proceedings is challenged, it must be produced. For that proposition, the court was referred to the case of *Dahaw (Pvt) Ltd and Another* v *Willdale Ltd and Others* HH235/22. The authority given to the deponent is in effect. The challenge must be dismissed with costs on a higher scale. The challenge is based on provisions of the law that are inapplicable.

On the alleged approbation and reprobation, it was submitted that the first respondent has not taken two positions that are in conflict with each other. The first respondent has consistently defended every manoeuvre by the Applicants to place it under corporate rescue. The first respondent further submitted that the doctrine of preemption, which forms the basis of the alleged approbation and reprobation, does not apply in this case. The court was referred to the case of *Zimbabwe Consolidated Diamond Company (Pvt) Ltd* v *Adelcraft Investments (Pvt) Ltd* CCZ2/24. There is no preemption in the case. There is no existing adverse judgement against the first respondent, which it has, by unequivocal conduct, may be regarded as being inconsistent with an intention to challenge any such judgement.

On the existence of the statutory bar, the first respondent submitted that that approach offends against the constitutionally guaranteed right to a fair hearing in terms of section 69 of the Constitution. The approach also offends the common law principle of *audi alteram partem,* which means 'hear the other side'. The common law did not alter that principle and the Act. It was further submitted that what s 126 (1) of the Act prohibits is the commencement of a legal proceeding and or continuation of a legal proceeding that was already underway at the time that corporate rescue proceedings are instituted. Nothing under s 126 (1) of the Act prohibits a company against which legal proceedings for placement under corporate rescue are instituted from defending itself. Section 130 (2) of the Act applies only after the court has placed the company under supervision and commenced corporate rescue proceedings.

RESPONDENT'S POINTS *IN LIMINE*

The first respondent submitted that the applicants have no *locus standi*. *Locus standi in judicio* refers to one's right, ability or capacity to bring legal proceedings in a court of law. The trade union is not mandated to represent employees of the first respondent, but is registered to represent employees in the diamond, mining and allied industry. As such, the trade union

cannot, at law, represent employees of the first respondent. For that proposition, the court was referred to the case of *Metallon Gold Zimbabwe (Pvt) Ltd and Ors* v *Shatirwa Investments and Ors* SC107/21. In that case, the court held that the second respondent had no *locus standi* because it was a registered trade union representing employees in the mining industry rather than a registered trade union representing employees of the company as envisaged by section 120 as read with section 124 of the Act. The statute is clear as to who is entitled to make an application for corporate rescue.

The first respondent also submitted that the applicants did not notify each affected person in terms of s 124 (2) (b) of the Act. An applicant in corporate rescue proceedings is obliged to notify each affected person of the application by means of a standard notice. The applicants' failure to comply with the law vitiates the proceedings. They cannot rely on substituted service as it is not provided for by law. The court was referred to the case of Metallon *Gold* (supra) in which the Supreme Court held that the Act does not provide for substituted service.

The first respondent also submitted that the founding affidavits for the applicants were not properly commissioned. The affidavits do not clearly identify the office or capacity in which the commissioner of oaths purports to act as a commissioner, thus rendering them nullities. As a result, the application ought to be struck off the roll with costs on a legal practitioner and client scale, as it constitutes an abuse of court process. The affidavits being defective, it was submitted that there was no valid application before the court.

It was also submitted that the first applicant lacks the authority to bring the proceedings. The first applicant relied upon a resolution of 16 of its members who are based at Renco Mine. The first applicant did not fully consult its members. The failure to consult the membership renders the proceedings a nullity.

THE MERITS

On the merits, the first respondent submitted that the application must fail. No proof of financial distress has been presented to the court. The first respondent has not collapsed, several months after the filing of this application. There is thus no basis for the present proceedings. The first respondent is not financially distressed. The evidence placed before the court must be based on the current financial position and not on historical numbers. In *casu*, the applicants have not placed before the court the first respondent's current financial status.

The first respondent further submitted that the applicants' failure to substantiate their application constitutes a clear abuse of court process. They have unnecessarily put the first respondent out of pocket and must be visited with costs on a higher scale. The proceedings were referred to as frivolous, vexatious and reckless. The first respondent prayed for the dismissal of the case with costs on a higher scale. The court was referred to the case of *Neil* v *Waterberg Landbouwers Ko-operative Vereeniging* 1946 AD 597, a leading case on the assessment of costs.

RESPONSE ON THE POINTS IN LIMINE BY THE APPLICANT

The applicants submitted that the first respondent is not properly before the court. It cannot oppose the application on the grounds of the approbation and reprobation principle, a flawed board resolution or the existence of a statutory bar. On jurisdiction, it was submitted that the High Court has inherent jurisdiction, and the creation of a specialised division does not mean that the general division cannot hear matters of this nature.

On *locus standi* and lack of authority, it was submitted that a trade union is not required to obtain express authority from its members to initiate corporate rescue proceedings. The first applicant sought such authority as confirmed by the resolution placed before the court. It is also a registered trade union.

Upon notification by standard notice, the applicants submitted that they complied with the requirements of ss 2 and 124(2) of the Act concerning the other identified persons. However, the first respondent refused to provide the first applicant with the contact details of certain creditors, shareholders, and employees not represented by the trade union. Substituted notice proceedings were resorted to after the applicants had faced difficulties due to the first respondent's withholding important information about the affected persons.

Regarding defective affidavits, the applicants submitted that the commissioner's office has been identified. That is good enough. The court was referred to the case of *Prosecutor-General v E. Makarichi and Ors* HH502/23, where it was held that "… what is required is that any stamp that is used to designate a Commissioner of Oaths should clearly identify the person before whom an affidavit is deposed and the office or capacity in which he or she acts as a commissioner". The applicants argued that the point was taken out of fashion and has no merit.

CORPORATE RESCUE PROCEEDINGS

Corporate rescue is a legal process to rehabilitate financially distressed companies. It replaced judicial management, which was found to be ineffective. Among others, it provides a moratorium on creditors. Its aim is to save the entire business and jobs. It was introduced by the *Insolvency Act* [*Chapter 6:07*], which was promulgated on 25 June 2018. Section 121(1)(b) of the *Insolvency Act* defines corporate rescue as proceedings to facilitate the rehabilitation of a company that is financially distressed by providing the temporary supervision of the company, and of the management of its affairs, business and property and a temporary moratorium on the rights of claimants against the company or in respect of property in its possession and the development and implementation, if approved, of a plan to rescue the company.

Corporate rescue proceedings are not permanent. They are a measure for the temporary supervision of a financially distressed company to revive it and restore its viability. Section 125 (3) of the Act provides that corporate rescue proceedings must be concluded within three (3) months. If a longer period is required, the Corporate Rescue Practitioner must apply to the High Court. Section 125 (3) provides that if corporate rescue proceedings have not ended in three months since their commencement, or such longer time as permitted by the High Court, the Corporate Rescue Practitioner has an obligation to prepare a progress report of the proceedings, which must be updated monthly until the end of the proceedings. The Corporate Rescue Practitioner must deliver this report and each monthly update to the affected persons, the Master and the High Court. The High Court can remove a Corporate Rescue Practitioner for incompetence, failure to perform his/her duties, failure to exercise the proper degree of care in the performance of their functions, failure to publish the corporate rescue plan within 45 business days after they were appointed, amongst other reasons.

APPLICANTS' POINTS *IN LIMINE*

The applicants submitted that the first respondent is not properly before the court because of an invalid board resolution. It was submitted that s 205 (2) (a) of the COBE Act, read together with s 196, invalidates the resolution as it could not be independently verified if all directors had signed the minutes before or after the meeting, assuming that the company's board meeting was held electronically, among other reasons. It was also submitted that there is no evidence substantiating that the deponent of the first respondent is authorised.

Section 205 of COBE Act is entitled 'Minutes of meeting of board and committees'. s205(1) provides that the minutes of each meeting of the board and any committee shall be

prepared promptly after the meeting, and shall be submitted to the board or committee at its next meeting for its review and adoption. In terms of subsection 2, these minutes shall include a statement of the place of the meeting and time of the meeting and the persons present and the agenda at the meeting and the issue submitted for voting and the results of each vote including the names of the directors who voted "for" or "against" or who abstained and the decisions adopted at the meeting. Section 196 of COBE Act provides for Directors acting other than in person at a meeting.

I find that point to be devoid of merit because s 205 of the COBE Act concerns the minutes of meetings of the board and its committees. Nowhere in that section does it mention board resolutions. Even by looking at the title itself, it says 'Minutes of meeting of board and committees'. The first respondent did not rely on the minutes provided for in s 205 of the COBE Act. I also agree with the first respondent that a board resolution is just an extract of the minutes. I also agree with the first respondent that the minutes were signed by the chairperson, which means they were approved under the law. Once the chairperson signed them, they became valid. I hold that the board resolution meets the basic threshold and is valid. The applicants did not produce anything before the court to prove otherwise. On the other hand, the first respondent produced a board resolution. I hold that the point in *limine* has no basis and accordingly, must fail.

The second point *in limine* deals with approbation and reprobation. This principle prevents a person from taking two inconsistent positions to gain an advantage from one while denying the other. The first respondent is accused of approving corporate rescue proceedings to defend against asset seizure by invoking s 126 of the Act, which grants a moratorium upon the filing of corporate rescue proceedings, but disapproves of the same process because it detests the nominated rescue practitioners. The court was referred to the case of *Dhliwayo* v *Warman Zimbabwe (Pvt) Ltd HB12/22*, where it was held that no person may be allowed to blow hot and cold or to opportunistically endorse two conflicting positions.

The doctrine of approbation and reprobation is a legal principle preventing a party from taking inconsistent positions to gain an advantage. It means that you cannot have your cake and eat it too. It is rooted in equity. It comes from Scots law. It prevents accepting benefits (approbation) while simultaneously rejecting other aspects (reprobation). The principle prevents abuse of the legal system. It can occur for example, where one benefits from a will but challenges its terms. The doctrine has been discussed in a number of judgements in this country. See *Wangayi* v *Mudukuti* HB155/17, a judgement by MATHONSI J (As he then was).

It was held that it is a celebrated principle in our law that a person cannot approbate and reprobate. See also *Aaron Majero v Dubekile Danda* HH119/18.

In *casu*, the first respondent cannot be said to have approbated and reprobated. The first respondent has defended all actions to place it under corporate rescue. What the first respondent simply did was to point out the moratorium operating in its favour to a judgement creditor. That it did in a separate and unrelated matter. I agree with the submissions by the first respondent that the right of an unsuccessful litigant to challenge an adverse judgement or order is said to be preempted if he, by unequivocal conduct inconsistent with an intention to challenge it, shows that he acquiesces in the judgement or order. Indeed, there is no adverse judgement existing against the first respondent, which, by its conduct, can be said to be inconsistent with an intention to challenge any such judgement. Accordingly, I hold that the point of *limine* has no basis and ought to be dismissed.

The applicants also submitted that the first respondent is precluded from defending itself in the present proceedings, as the board of directors terminated upon the filing of the application. It was submitted that, in the absence of the board, the opposing papers are void and the matter must be treated as unopposed. Section 126 of the Act, which is titled 'General moratorium on legal proceedings against company' states as follows: s 126(1), During corporate rescue proceedings, no legal proceeding, including enforcement action, against the company, or in relation to any property belonging to the company, or lawfully in its possession, may be commenced or proceeded with in any forum. My understanding of the provision is that a company is not prohibited from defending itself because corporate rescue proceedings have been commenced against it. In *casu*, the court is simply seized with an application. If the first respondent (the company) does not defend itself, then who should? A company may not defend itself against these proceedings if it is not opposed to the application. The first respondent is opposed, and it has the right to defend itself. Section 130 (2) of the Act does not apply. It only applies after the court has placed a company under supervision and corporate rescue proceedings have commenced. In *casu*, the first respondent has not yet been placed under corporate rescue, and no corporate rescue proceedings have commenced. Accordingly, the point in *limine* lacks merit and is dismissed.

FIRST RESPONDENTS' POINTS *IN LIMINE*

The first respondent has also raised several points in *limine*. The one that has the effect of disposing of the matter is the one on standing. I will only deal with the aspect of standing.

The first respondent submitted that the applicants have no *locus standi* to bring the proceedings. The first applicant is a trade union registered to represent employees in the "Diamond, Mining and Allied Industry". Section 121 of the Act states as follows:

> Section 121 (1) in this Part-
>
> (a) "affected person", in relation to a company, means-
>
> (i) A shareholder or creditor of the company; and
>
> (ii) Any registered trade union representing employees of the company; and
>
> (iii) If any of the employees of the company are not represented by a registered trade union, each of those employees or their respective representatives;

Standing, or *Locus standi in judicio* means the legal right to bring a case or to appear before the court. It requires a party to show a direct, substantial and legally recognised interest in the matter being litigated. They must have a genuine stake in the outcome. Anyone bringing a matter before a court must prove that they are not just a 'busybody'. A 'busybody' in law refers to someone who meddles in others' affairs without a legitimate concern. Raising this objection is crucial, as it ensures that those genuinely affected by an issue receive a hearing in court. That way, court time is not wasted, and access to justice is reserved for litigants with real cases. In *Walton* v *Scottish Minister* [2012] UHSC 44, [2012] All ER (D) 173 (Oct), Lord Reed stated that:

> "A busybody is someone who interferes in something with which he has no legitimate concern. So a distinction must be drawn between the mere busybody and the person affected by or having a reasonable concern in the matter to which the application relates."

Locus standi is based on the common law. A party has *locus standi* if it has legal justification to approach a court for relief sought and has a direct and substantial interest in the outcome of the legal proceedings. In *Mashamhanda* v *Bariadie Investments and Ors*, HC3955/22, the court held that, in law, standing is a condition that a party seeking a legal remedy must show that they have by demonstrating to the court sufficient connection to and harm from the law or action challenged to support that party's participation in the case. In *Sibanda and Ors* v *The Apostolic Faith Mission of Portland, Oregon (South Africa Headquarters) Inc,* Sc49/18, the court remarked that,

> 'It is trite that locus standi is the capacity to bring a matter before a court of law. The law is clear on the point that, to establish locus standi, a party must show a direct and substantial interest in the matter". See also *Makarudze and Anor v Bungu and Ors* HH8/15 for the same proposition."

So important is this concept that it is widely used in legal proceedings as a special plea or preliminary objection so that the matter is not heard on the merits.

In *casu*, I hold that the first applicant lacks *locus standi* to pursue these proceedings. The first applicant is just a 'busybody' in the strictest sense of the word. It has no direct and substantial interest in the matter. It does not fit into the definition of an affected person as contemplated by s 121 (1) (a)(ii) of the Act. The application is an abuse of court process. I am fortified in my reasoning by the decision of the Supreme Court *in Metallon Gold Zimbabwe (Pvt) Ltd and Ors* v *Shatirwa Investments and Ors* (supra), where it was held that:

> "… the second respondent is a registered trade union representing employees in the mining industry and not a registered trade union representing employees of the company as envisaged by s120 as read with section 124 of the Insolvency Act…The Insolvency Act does not provide for a registered trade union in the industry, but specifically provides for one representing employees of the company".

I therefore hold that the first applicant has no standing to initiate these proceedings. The same, therefore, applies to the second and third respondents who associated themselves with the first applicant.

Having upheld the first respondent's objection in *limine,* I will not proceed to deal with the other points in *limine* raised by the first respondent, as that is not necessary. The application falls.

COSTS

The first respondent prayed that the application be dismissed with costs on a higher scale. The legal position is that costs on a higher scale will not be granted lightly. The rationale for this approach is that courts are open to all litigants to bring their complaints; therefore, they should not be penalized if they are misguided in bringing hopeless cases. See *Mossa* v *Lallo and Anor* 1957 (4) SA 207 (D). See also *Waterberg Landbouwers Ko-operatiewe Vereniging* 1946 AD 597 at 607. It is also trite that the court is empowered to exercise its discretion in awarding costs. According to Herstein and Van Winsen *The Civil Practice of High Courts of South Africa* 5th edition vol 2 at pages 972-973, costs on a higher scale may be awarded where a litigant's behaviour amounts to stubbornness bordering on vexatiousness, where an application was brought to court yet it is unnecessary, where an application is an abuse of process, where there exists a grave defect in the pleadings and where proceedings where brought on ill-advised grounds. See also AC Cilliers, The Law of Costs, 2nd ed, at p. 66.

In *casu*, I am not persuaded to grant costs on a higher scale on the ground that this case raised some important legal issues. The application cannot be classified as frivolous, vexatious or reckless; there is no dishonesty or fraud by the applicants, and the applicant's conduct was not deplorable towards the court. I also believe that courts should be open to all litigants. Costs should not be a deterrent to access to justice. In awarding costs at a higher scale the courts should therefore exercise greater vigilance.

DISPOSITION

Accordingly, I make the following order:

1. The application is dismissed.
2. Each party to bear its own costs.

MANDAZA J: …….

Zinyengere and Rupapa, applicant's legal practitioners
Wintertons, first respondent's legal practitioners